production of goods and services due to some natural advantages like abundant availability of skilled labour, favorable climatic conditions, availability of natural resources, technical know-how, etc., For example, In India Coimbatore specilises in cotton textiles and producing textiles and machinery; Tirupur specialises in manufacturing hosiery products This specialisation paves way for large scale production of specialised items. International business transfers the abundant surplus to other countries which do not have these specialised goods or products

iv. Cost Benefit.

Production cost varies significantly among the countries due to difference in socio-economic, geographical, demographical, technical and political environments prevailing therein. As a result some countries are in a better position to produce some goods more economically and efficiently than other countries. This makes the firms engaged in international business import the goods available at lower prices from other countries and export the goods which bring them better prices to other countries.

25.06 Differences Between Domestic Business and International Business

Basis	Domestic Business	International Business
1. Meaning	Domestic business refers to business transactions transacted within the geographical boundaries of a country	International business refers to the business transactions transacted in beyond the boundaries of a country
2. Participants in Business	People / organizations within the country participate in business activities	People/organizations outside the country participate in business activities
3. Mobility of Factor of Production	The factors of production i.e. labour,, capital, technology, material, etc., move freely within the boundaries of the country	The factors of production i.e. labour,, capital, technology, material, etc., move across the boundaries of the country.
4. Nature of Consumers	Consumers are relatively homogenous in nature in terms of culture, behavior ,taste, preferences, legal system, customs and practices, etc.,	Consumers are relatively heterogeneous in nature in terms of culture, behavior ,taste, preferences, legal system, customs and practices, etc. prevailing across the countries,
5. Business System	Domestic business is governed by the rules, laws, policies taxation system of a single country	International business is governed by rules, laws and policies ,tariffs and quotas etc., of multiple countries
6. Currency Used	Domestic business transactions are settled by local currency of a country.	International business transactions are settled by foreign currencies.

Commerce 16-25.indd 249 10/12/2022 16:33:24